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Does Democracy Reduce Ethnic Inequality?

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Abstract: *To what extent and under what conditions do democratic institutions reduce socioeconomic ethnic inequality? I argue that democratization reduces ethnic inequality by introducing electoral accountability, which facilitates a series of egalitarian policies. However, the effect of democratization is conditional on the distribution of resources under the previous, nondemocratic regime. Countries that were more ethnically unequal prior to democratization experience greater egalitarian effects following democratization. To examine the argument, I leverage multiple country- and group-level measures of ethnic inequality. Using fixed effects regressions, instrumental variable analyses, and event studies, I demonstrate that democratization substantively reduces ethnic inequality, but mainly for countries with high predemocratic levels of inequality.*

Verification Materials: The data and materials required to verify the computational reproducibility of the results, procedures, and analyses in this article are available on the American Journal of Political Science Dataverse within the Harvard Dataverse Network at: https://doi.org/10.7910/DVN/4UOQUR.

An extensive body of literature has examined whether democracy reduces economic inequality (e.g., Acemoglu et al. 2015; Dorsch and Maarek 2019). Extant research has generally considered inequality between individuals (also referred to as vertical inequality) or social classes. Yet this focus does not capture all of the relevant dimensions of societal disparity. There is growing awareness that social and economic inequalities between ethnic groups—also known as horizontal inequalities (cf. Stewart 2008)—are at least as important for a range of social outcomes, such as conflict, growth, public goods provision, and individual well-being (e.g., Alesina, Michalopoulos, and Papaioannou 2016; Baldwin and Huber 2010; Houle 2015; Stewart 2008).

Although individual inequality and ethnic inequality often covary, they are far from identical (Stewart, Brown, and Mancini 2010, 28); their correlations are only low to moderate (0.3, on average, with the three employed measures). This suggests that ethnic inequality captures something distinct from conventional concepts of economic inequality (Alesina, Michalopoulos, and Papaioannou 2016, 482). However, there are no cross-national studies investigating the impact of democracy on ethnic inequality over time. Moreover, a range of potential obstacles to intergroup redistribution means that it is far from self-evident that democratic transitions reduce ethnic inequality.

Against this background, this article provides a theoretical and empirical answer to the following question: do transitions to democracy reduce socioeconomic ethnic inequality? I argue that democracy empowers previously excluded ethnic groups. This allows them to mobilize and hold governments accountable, which results in a series of egalitarian policies. Inspired by Dorsch and Maarek (2019), I also theorize that the equalizing influence of democracy is conditional on the pretransitional level of ethnic inequality. Nondemocracies with high levels of ethnic inequality are likely to experience larger reductions following democratization than more egalitarian nondemocracies. This happens because the social and political forces unleashed by democratization do not show the same demand for equality in countries that are initially more egalitarian. Citizens in such countries may simply not make extensive political demands for equality, since they do not perceive the given

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distribution of resources as particularly unfair. Conversely, in relatively unequal countries that democratize, members of impoverished groups are more aggrieved due to long-standing inequalities, which they can now seek to rectify.

The argument is evaluated empirically using both country-level and group-level data. The former includes three different measures of socioeconomic ethnic inequality based on expert coding (Coppedge et al. 2021), nighttime light density (Alesina, Michalopoulos, and Papaioannou 2016), and survey data (Omoeva, Moussa, and Hatch 2018), respectively, covering between 86 and 175 countries over several decades. First, fixed-effects panel regressions demonstrate that while democracy tends to reduce ethnic inequality, the average effect is not robust. However, conditional on predemocratic levels of ethnic inequality, the relationship is robust and substantive. Thus, democracy has a sizeable equalizing effect in countries that were relatively unequal under authoritarian rule. The panel-regression results are robust to two-stage least squares (2SLS) estimations that employ a "democratic wave" instrumental variable (IV).

Second, I use event analysis to analyze changes in ethnic inequality in democratic states (treatment group) relative to nondemocratic states (control group) immediately before and after democratic transitions. Consistent with the panel regressions, the event studies show that democratic transitions are followed by reduced ethnic inequality in countries that were previously relatively unequal. Moreover, they show that some of the effects are already visible after five years, but strongest after 15–20 years. In the online supporting information, I pursue a wide range of robustness checks and present placebo tests. I also present evidence of the suggested mechanisms by employing indicators of ethnopolitical inclusion, antidiscrimination policies, and redistributive social policies.

Subsequently, I provide an analysis using group-level data based on nighttime light emissions for a global sample in the period 1992–2012 (Bormann et al. 2021). A fixed-effects regression analysis shows that democracy is followed by a convergence in average group income. This means that socioeconomically disadvantaged groups experience income increases relative to the country mean following democratization, whereas socioeconomically advantaged groups experience a relative reduction. Employing additional group-level data from the All Minorities at Risk dataset (AMAR) (Birnir et al. 2017), I also find support for a key aspect of the mechanism, as democratic transitions are typically followed by reduced political and economic discrimination against groups.

These findings suggest that democratic institutions constitute an important tool for fostering equality between ethnic groups, thus helping to mitigate many of the negative societal effects associated with ethnic inequality. Furthermore, by presenting evidence that democracy influences the level of ethnic inequality, this study qualifies a burgeoning literature that has found that ethnic inequality increases the likelihood of democratic breakdown, coups, and state repression (Houle 2015; Houle and Bodea 2017; Stewart 2021; Ye and Han 2019). Finally, the findings speak to the literature on the consequences of democracy for a range of important outcomes (Gerring, Knutsen, and Berge 2022), including recent studies investigating income inequality between individuals (e.g., Dorsch and Maarek 2019).

Conceptualizing Ethnic Inequality

Research investigating the democracy–inequality link has consistently considered inequality between individuals, as opposed to inequality between groups (see Stewart 2008). By ethnic inequality, I mean differences in the standard of living between ethnic groups, which includes income and wealth as well as access to public services such as education and health (cf. Stewart 2008, 3–23).

I follow Weber in defining ethnicity broadly as a "putative belief in common ancestry" ([1922] 1976, 389), which builds on shared ascriptive identity markers generally inherited at birth, such as language (e.g., Belgium), religion (e.g., France), tribe (e.g., Kenya), caste (e.g., India), and phenotypical features (e.g., the United States). This emphasis on ethnic categories as social constructs linked to descent-based attributes is consistent with the recent literature on ethnic politics (Canelas and Gisselquist 2018, 306; Chandra 2004). Importantly, the presence of ethnic inequality presupposes the existence of well-defined groups whose boundaries enjoy continuity over time (Canelas and Gisselquist 2018, 307–08).

Although individual inequality and ethnic inequality often covary, they are far from identical (Stewart, Brown, and Mancini 2010, 28). A country can have large income inequalities between groups despite the fact that individual inequality is relatively low (e.g., Rwanda). Conversely, a country can exhibit high individual inequality even though differences between groups are relatively low (e.g., Lebanon)—or a country can score high (e.g., South Africa) or low (e.g., Switzerland) on both (Baghat et al. 2017, 71). The correlation between ethnic inequality and conventional measures of economic inequality is low to moderate (between 0.04 and 0.61 with the three

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employed measures).[1] Hence, ethnic inequality captures something distinct, conceptually and empirically, from conventional concepts of economic inequality (Alesina, Michalopoulos, and Papaioannou 2016, 482).

Theorizing the Impact of Democracy on Ethnic Inequality

By democracy, I mean a political regime where leaders are selected in inclusive, competitive elections (Skaaning, Bartusevicius, and Gerring 2015, 1495). I thus focus on an electoral model of democracy that is unconcerned with "thicker" aspects of democracy, such as the rule of law, constraints on executive power, and deliberation (Przeworski et al. 2000). This conceptualization has the advantage of focusing on the theoretical attribute of interest: the ability of citizens to hold the government accountable through competitive elections. Moreover, it provides a clear demarcation of democracy from nondemocracy, making it suitable for studying the influence of democratic transitions.

Ruling Coalitions and Ethnic Favoritism

Any autocrat relies on a group of supporters—a "winning coalition" or a "ruling coalition"—that provides the regime with the support necessary to extend its survival (Bueno de Mesquita et al. 2003). Ethnically diverse nondemocracies tend to have small ruling coalitions composed of their own ethnic group (Collier 2007, 49–50; Wimmer 1997, 649). To the extent rulers are accountable to anyone, it is likely elite members from the same ethnic groups, due to factors such as regional origins, social networks, kinship, and fear of coups by elites from other ethnic groups (Roessler 2011). By excluding entire ethnic groups from power, the ruling elites can channel the state's resources to coethnics (Buhaug, Cederman, and Gleditsch 2014, 421). Moreover, the governing elites in modern nation-states are expected to care for (and thus privilege) individuals and communities from their own ethnic groups (Wimmer 2018, 29). Ethnic inequalities may thus be the result of narrow ethnic ruling coalitions that employ the state apparatus to engage in political favoritism along ethnic lines (cf. Gurr 2000, 7). Beyond outright repression and overt discrimination, which are a pervasive source of inequalities (Gurr 2000, xvi), the politically dominant group can engage in ethnically targeted redistribution, which has been well-documented empirically (e.g., De Luca et al. 2018; Franck and Rainer 2012; Nathan 2016). While targeted redistribution dynamics are not restricted to nondemocracies, they are much more likely to take place there (e.g., Burgess et al. 2015).

However, it also bears mentioning that some autocrats do share power with elites from other ethnic groups (e.g., Francois, Rainer, and Trebbi 2015), which may result in a broader distribution of public goods (André, Maarek, and Tapo 2018). Variation in the size and ethnopolitical configuration of the ruling coalition may thus help to explain different levels of ethnic inequality, for example, with apartheid South Africa (highly exclusive) at one end of the spectrum and predemocratic Ghana (more inclusive) at the other.

In short, nondemocracies have narrower ruling coalitions that are more likely to restrict access to public goods to their coethnics and engage in repressive or discriminatory practices. Under democracy, political leaders have to establish broader political coalitions than those necessary to hold power in a nondemocracy. Competition among elites for voters produces a situation in which they become accountable to (at minimum) a plurality of the voting electorate, thereby creating a bigger winning coalition (Bueno de Mesquita et al. 2003). As such, small ethnic ruling coalitions that only cater to the preferences of a narrow set of interests are less likely to emerge in democracies. This is in line with the argument that democratic institutions offer incentives for politicians to build encompassing multiethnic coalitions to win elections. Consequently, democracy has the *potential* to bring about a more equal distribution of resources between ethnic groups.

Democracy, Mobilization, and Electoral Accountability

Following democratization, both existing and new parties seek to appeal to the new voters. In countries with significant group disparities, party appeals are likely to focus both on socioeconomic injustices—which may be remedied through the redistribution and broadening of economic opportunities—and cultural injustices, rooted in underrepresentation, nonrecognition, and disrespect (Gisselquist 2013). In the process of making appeals, movement or party leaders can tap into cultural markers and point to group exploitation (Stewart 2021).

First, ethnic identity markers are more likely than socioeconomic class to create the shared identity necessary

[1]These numbers average the correlations from three ethnic inequality measures with the net income inequality Gini from the SWIID (Solt 2019).

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to formulate grievances strong enough to sustain collective action (Baghat et al. 2017, 12; Cederman, Gleditsch, and Buhaug 2013; Stewart 2008, 2021). Second, ethnic inequalities can relatively easily be framed as the result of political decisions made by powerful groups rather than the results of innate skill, talent, or hard work. Indeed, many group inequalities have historical roots in conquest, slavery, or other differential treatment, sometimes persisting through the present day. Because ethnic group membership is determined at birth or is inherited—and, hence, is outside the control of the individual—it is less likely to be considered a fair reason for being left behind and enjoying lower status. By comparison, individual economic inequality can more easily be framed and conceived of as the result of ability or effort (Alesina, Michalopoulos, and Papaioannou 2016, 431; Deere, Kanbur, and Stewart 2018, 89).

In short, ethnic inequality may be particularly likely to be perceived as unfair and lead to grievances that provide the basis for collective action aimed at redressing perceived injustices. Appeals to relatively deprived groups are made both by ethnic and nonethnic parties and are typically, but not always, tied to leftist platforms (Gisselquist 2013, 398; see Vogt 2016). Under conditions of high ethnic inequality, people from the same ethnic groups are more likely to share economic preferences and vote for the same parties (Houle, Kenny, and Park 2019, 187), meaning that members of impoverished ethnic groups are more likely to vote for parties advocating more redistribution, and vice versa for wealthy groups. Notable examples of political movements with the declared goal of redressing group inequalities are the MAS in Bolivia, CONAIE in Ecuador, and the ANC in South Africa (Gisselquist 2013; Vogt 2019, 172).

Democracy is also conducive to the establishment and strengthening of a well-developed civil society (Yashar 2005, 46–49), which may interact closely with electoral politics. Vogt (2016) argues that well-organized indigenous movements in Latin America were able to demonstrate the political significance of their constituency, which in turn increased the likelihood of placing indigenous leaders in executive positions of state power. Ethnic social movements were thus a key driver of ethnic inclusion in societies with a history of ethnic discrimination (Vogt 2016, 799). In the same vein, voluntary associations can be instrumental in lobbying state institutions (ministries and parliaments) to improve the quality of public service delivery, benefiting deprived groups (Vogt 2019, 71).

Moreover, the formal political equality guaranteed in democracies makes norms of equal rights and opportunities for all citizens more likely to emerge, which may further motivate groups to seek "fair treatment." In the process of granting formal citizenship to previously excluded groups, democracy may foster a political dynamic in which these groups come to view their interests as a matter of rights. Consequently, they will take a correspondingly more aggressive approach to satisfying those rights in political, social, and economic spheres (Gerring, Thacker, and Alfaro 2012, 3). Once this political dynamic has been initiated, it may have important consequences for reducing discrimination as well as extending and improving the government services offered to marginalize ethnic groups.

To summarize, democracy allows previously excluded groups to participate politically, to hold governments accountable, and to support preferred policies benefiting the group. If able to gain enough electoral strength, parties representing disadvantaged groups may secure government or parliamentary seats, allowing them to enact or influence legislation and monitor implementation. Even if they fail to become established members of the polity, parties representing deprived groups may promote inclusion by pressuring dominant parties to become more ethnically inclusive regarding both their agenda and composition (cf. Vogt 2019, 71). For instance, if marginalized groups build sufficient organizational strength, the dominant parties may decide to include representatives of these groups to improve their own electoral success (Madrid 2005, 167). In line with this logic, recent studies have shown how the inclusion of representatives from underprivileged groups in state institutions influences these groups in terms of collective rights, redistribution, and public goods provision (e.g., Carnes and Lupu 2015; Reingold and Smith 2012).

A wide range of policies to tackle ethnic inequality may be pursued. Policies can be universal or targeted. *Universal policies* impose taxes and provide benefits according to universal categories, equally applicable to everyone in society, ranging from direct income transfers to in-kind services (e.g., health, housing, education), which benefit low-income voters relatively more. *Targeted policies* provide benefits to particular groups and their members, including educational scholarships, group distribution requirements, investments in disadvantaged regions, and legal aid for deprived communities (Stewart, Brown, and Langer 2008).

Finally, under democracy, the political influence and representation of previously excluded groups should contribute to fighting *state discrimination* along ethnic lines, which may occur in the public administration or by intervention in the labor market. For instance, in apartheid South Africa prior to 1994, the political system was dominated by the white minority, which introduced

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government regulations to reduce the wages of black Africans, for example, by forcing them into unskilled occupations (Lundahl 1982). In the same vein, there may be state policies that, whether openly or covertly, discriminate in favor of a particular group's language or religion. Political empowerment of previously excluded groups is likely to challenge such policies. The consequence of reduced discrimination and a more uniform enforcement of civil rights across all ethnic groups is the creation of a more level economic playing field that reduces inequalities between groups. To summarize:

H1: Democratization reduces socioeconomic ethnic inequalities.

Some of the enacted policies will have more immediate effects than others. For instance, while changes in taxation may have relatively immediate effects, investments in education are likely to work in the long term.

Obstacles to Increased Group Equality

However, democracy does not automatically reduce ethnic inequality. At least initially, members of disadvantaged groups may lack the necessary capacity to organize politically. Moreover, democratic politics may also entail resistance to pushes for increased group equality, as when members of a major group stand to lose from redistribution or consider equalizing policies to be unfair. In the same way that an ethnic or leftwing party emerges or is strengthened, a conservative party or an ethnic party representing a wealthy group may mobilize political support against increased redistribution. Notions of deservedness rooted in a history of oppression or exclusion may be offset by stereotyping of groups such that their socioeconomic status is believed to be due to their own efforts (e.g., Langer, Stewart, and Schroyens 2016, 2).

Moreover, a considerable body of literature suggests that individuals accept redistribution to ingroup members but object to redistribution to outgroup members (see Schmidt-Catran 2016, 122). Indeed, it has been argued that support for US welfare programs was undermined by the view that they would largely benefit African Americans (Quadagno 1994). In addition, because between-group socioeconomic disparities increase the salience of ethnic identities (Gurr 2000, 67; Higashijima and Houle 2017), people may hold a sharp view of what constitutes in- and outgroups and thus be unfavorable to outgroup redistribution. Consequently, large socioeconomic disparities between ethnic groups may be particularly difficult to overcome with redistributive efforts. Hence, there is no guarantee that democracy will automatically bring about more egalitarian policies.

Nevertheless, compared to a nondemocratic setting, democracy should provide a better platform for even minor, deprived groups to improve their relative socioeconomic situations. Unless democratic politics become locked in an "ethnic head count" in which a wealthy majority is pitted permanently against a poor minority, popular rule should provide opportunities for previously excluded groups to exert political influence.

The Heterogeneous Effects of Democracy

The impact of democracy is unlikely to be uniform across different levels of inequality between ethnic groups (see Dorsch and Maarek 2019). Highly ethnically unequal nondemocracies are likely to experience more significant reductions in ethnic inequality after democratization, whereas relatively equal nondemocracies are less likely to experience a significant decrease in ethnic inequality. The theoretical reasons are that the social forces unleashed by democratization do not generate the same demand for social and economic equality in initially more egalitarian countries. Citizens in countries with limited ethnic inequalities (e.g., Ukraine) may simply not make the same demands because they do not perceive the given distribution of resources to be particularly unfair. Conversely, in relatively unequal democratizing countries (e.g., South Africa), members of deprived groups are more aggrieved due to long-standing inequalities that they can now seek to rectify. Hence, we should observe the strongest reductions in ethnic inequality in countries that were particularly unequal before democratizing (see Figure 1).

This prediction can also be illustrated by means of the model developed by Meltzer and Richard (1981), where extensions of the franchise shift the median voter toward poorer segments of society, increase redistribution, and reduce inequality. If an ethnically exclusive ruling coalition channels disproportionate resources to its own group, the new median voter under democracy—from a previously excluded group—will be far from the previous regime's policy preferences and demand extensive policy changes. In a more egalitarian country, the new median voter's preferences will be closer to the preferences of the previous regime. Under these conditions, democracy should thus yield a much smaller redistributive effect:

H2: The effect of democratization on ethnic inequality is stronger in countries with high pre-democratic levels of ethnic inequality.

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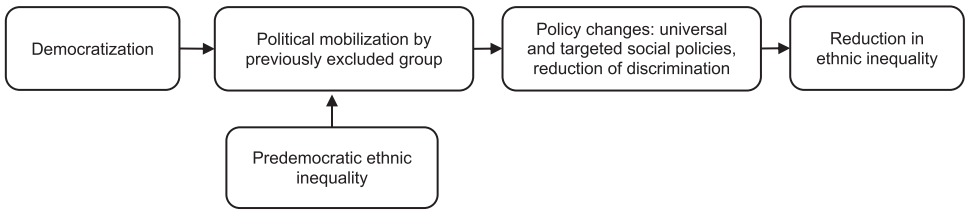
FIGURE 1 Summary of Main Argument



Notes: Democratization leads to the mobilization of previously excluded groups and policy changes that reduce ethnic inequality. However, the effect of democratization is conditional on the distribution of resources under the previous, nondemocratic regime.

Empirical Strategy

The consequences of democratic transitions for ethnic inequality are assessed in three steps. First, I examine whether democracy is associated with reductions in ethnic equality using panel regression with a two-way fixed estimator and by employing three different country-level proxies of ethnic inequality. Following my theoretical argument, I examine whether this relationship is conditional upon predemocratic ethnic inequality. The OLS regressions are also supplemented by two-stage least squares regressions, which help to mitigate concerns regarding reverse causality. Second, I use event studies to estimate the effect of democratic transitions on ethnic inequality. This step allows me to compare the treatment and control groups in their dynamics immediately prior to and following treatment (transitions to democracy). Third, I examine the effect of democratic transitions using group-level ethnic inequality data, which enables me to see how country-level democratization events shape the relative socioeconomic position of individual groups.

Country-Level Data

The hypotheses are subjected to empirical assessment using both country-level and group-level data, the latter of which is discussed further below. To measure electoral democracy, I use the Lexical Index of Electoral Democracy (Skaaning, Bartusevicius, and Gerring 2015), which provides up-to-date categorical data on political regime types for all independent polities back to 1789. I create a binary democracy variable using Level 5 on the index as the cutoff, which refers to genuinely competitive elections combined with, at least, universal male suffrage, to distinguish between democracies (1) and nondemocracies (0). Female suffrage is clearly important from a normative point of view, but in order to capture historical variation in democracy throughout the twentieth century and its effects on ethnic inequality, the chosen cutoff is appropriate from an analytical perspective (cf. Boix, Miller, and Rosato 2013, 1532). In the online supporting information (pp. 14–23), I also provide tests with alternative operationalizations of democracy, including the binary measure by Boix, Miller, and Rosato (2013) and a binary measure based on an alternative cutoff on the Lexical Index (Level 6, i.e., competitive elections and universal suffrage), as well as the continuous V-Dem electoral democracy index (Coppedge et al. 2021) and unified Democracy scores (Pemstein, Meserve, and Melton 2010).

The measurement of ethnic inequalities raises issues about which group classifications to adopt. This issue is not trivial, as ethnic identities are not completely static over time and people hold multiple identities (Bochsler et al. 2021). Conceptually, the measure should capture differences in standards of living between members of different ethnic groups, which may depend on differences in income, wealth, and access to public services such as education and health. To ensure that my results are not the product of the idiosyncrasies of any particular measure, I present results with three different measures that provide time-variant data for both democratic and nondemocratic states. They reflect differences in standards of living between average members of different ethnic groups, aggregated to the country level.

First, I employ a measure of group inequality in access to public services by V-Dem. This expert-coded indicator asks whether, in practice, there are inequalities in access to basic public services (e.g., primary education, clean water, healthcare) depending on "caste, ethnicity, language, race, region, religion, migration status" (Coppedge et al. 2021, 219), corresponding to my broad conception of ethnicity. The measure provides data for almost all sovereign countries since 1900 (or independence), providing much more comprehensive coverage than any other proxies of ethnic inequality. The advantage is the experts' country-specific knowledge and their ability to capture latent phenomena where

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observable data are either missing or proxies are inadequate. Challenges with the V-Dem measure include our inability to revisit the rationale behind the coding decisions and possible "contamination" from experts also coding democracy-related items, which could introduce bias.

Second, I employ the ethnic Gini index by Alesina, Michalopoulos, and Papaioannou (2016), which is based on satellite images of nighttime luminosity in the homelands of ethnic groups from the Geo-Referencing of Ethnic Groups dataset. This measure reflects differences in mean income—as captured by luminosity per capita across ethnic homelands—between groups in 173 countries in 1992, 2000, and 2012. The nightlight measure captures the theoretical concept of interest and has the advantage of broad country coverage and some temporal variation. However, it also constitutes a relatively indirect proxy of economic activity that may contain measurement errors in cases where ethnic-group settlement areas largely overlap (Alesina, Michalopoulos, and Papaioannou 2016, 449).

Third, as part of the Education Inequality and Conflict (EIC 2015) project, Omoeva, Moussa, and Hatch (2018, 16) have created measures of inequality in educational attainment between ethnic/religious groups by constructing a group Gini coefficient based on three public household survey datasets (Omoeva, Moussa, and Hatch 2018, 15). The unbalanced dataset covers a set of 86 predominantly developing countries between 1946 and 2013 (Omoeva, Moussa, and Hatch 2018, 50). Although this measure only captures educational differences and is rather limited in empirical scope compared with the other measures, it is likely the most direct measure of average group well-being. Across the three measures, higher values indicate more ethnic inequality; the Alesina et al. and V-Dem measures range between 0 and 1 and the Omoeva et al. measure ranges between 0 and 0.6.

Given the various strengths and weaknesses of the measures (see Leipziger 2022), I present results from analyses with the three measures, which together should provide a rather accurate picture of the temporal dynamics within each country. Figure 2 maps the three employed measures in the year 2000 to provide the reader with a sense of the data, including varying coverage and scores. To show the data's temporal variation, Table A1 in the online supporting information (p. 2) reports the between- and within-country standard deviations of the employed measures.

I have presented the hypothesis that the predemocratic level of ethnic inequality shapes the strength of the relationship. To capture this dynamic, I add an interaction term between democracy and ethnic inequality in the country prior to democratization. As argued by Dorsch and Maarek (2019, 391), a nondemocratic regime could have agreed to redistribute resources as a concession before being pressed to democratize. This means that the level of ethnic inequality at the time of a democratic transition could be an imprecise reflection of the level of inequality in the previous nondemocratic regime. Therefore, I adopt Dorsch and Maarek's solution and use the predemocratic level of ethnic inequality five years prior to a democratic transition. If data are unavailable, I use the closest ethnic inequality observation available (e.g., three years before democratization).[2]

Specifications

To examine whether democracy reduces country-level ethnic inequality, I present results from both panel regressions and event analyses. The OLS panel regression specification is as follows:

$$\begin{aligned} \textit{Ethnic Inequality}_{i,t} &= \beta\, \textit{Democracy}(0,1)_{i,t-1} + \delta_i \\ &+ \gamma_t + \boldsymbol{\theta} X_{i,t-1} + \epsilon_{i,t}, \end{aligned} \tag{1}$$

where the dependent variable is Ethnic Inequality$_{i,t}$, one of the three measures described above. β is the coefficient quantifying the impact of democratic transitions. To account for time-invariant determinants of democracy and ethnic inequality, I use δ_i country-fixed effects. To control for common time shocks, I employ γ_t year-fixed effects. I regard country-fixed effects as crucial for addressing potential endogeneity issues. Countries characterized by high ethnic inequality are likely to be different from countries with less pronounced inequality on a range of confounding characteristics, such as colonization, state antiquity, and geographic location. By including country-fixed effects, the specifications control for such unobservable time-invariant factors. Moreover, year-fixed (γ_t) effects are important, since inequality may also respond to global factors that affect all countries. The following specification adds an interaction term (β_3) between democracy and predemocratic ethnic inequality indicators, which allows me to investigate a heterogeneous effect of democracy:

$$\begin{aligned} \textit{Ethnic Inequality}_{i,t} &= \beta_1 \textit{Democracy}(0,1)_{i,t-1} \\ &+ \beta_2 \textit{Predemocratic Ineqequality}_{i,t-1} \\ &+ \beta_3 (\textit{Democracy}(0,1)_{i,t-1} \\ &\times \textit{Predemocratic Inequality}_{i,t-1}) + \delta_i + \gamma_t \\ &+ \boldsymbol{\theta} X_{i,t-1} + \epsilon_{i,t}, \end{aligned} \tag{2}$$

[2]Nondemocracies simply receive the ethnic inequality score (with the exception of the five years leading up to a democratic transition).

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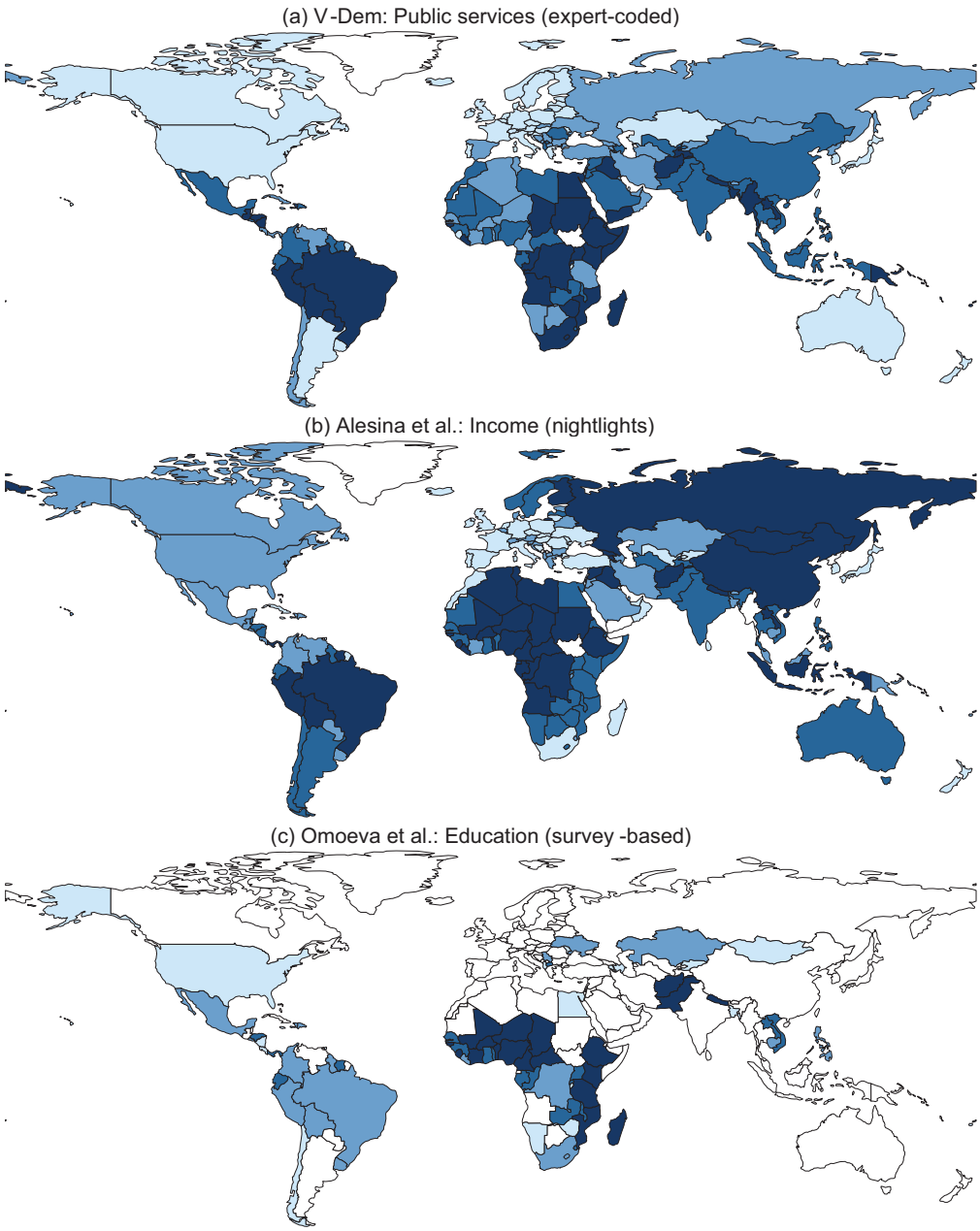
FIGURE 2 Values for the Different Measures of Ethnic Inequality in 2000



Notes: For each of three employed ethnic inequality measures, the figure shows individual country scores in the year 2000. The values are grouped by quartiles, with darker shades indicating higher inequality and white spaces indicating missing values.

In both specifications, $X_{i,t\text{-}1}$ is a vector of country-variant (and time-variant) controls that predict both the democracy measure and the inequality and redistribution measures. The level of a country's economic development is presumed to exert a positive influence on democracy and a negative influence on ethnic inequality, and it is measured using the Fariss et al. (2022) latent GDP per capita estimation due to its wide coverage and the presumption that multiple sources increase reliability. A large number of factors arguably both cause and are caused by democracy. Including such factors involves the risk of posttreatment bias. I therefore present a parsimonious baseline specification that relies on GDP per capita and fixed effects, but also show results with additional covariates that might affect both democracy and ethnic inequality. These include a new, dynamic measure

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of ethnic heterogeneity, civil war, oil dependence, and economic growth rates, detailed in the online supporting information (pp. 13–14).

The main unit of analysis is country years, with all right-hand variables lagged one time period behind the outcome (i.e., one year). However, the most important tables are also reproduced using longer lags as well as 5- and 10-year panels, as this alleviates concerns regarding the trended nature of the variables. In all specifications, I use an ordinary least squares (OLS) estimator with standard errors clustered by country.

One could raise legitimate concerns regarding reverse causality. Ethnic inequality may lead to grievances that make citizens demand democracy, which in turn affects the likelihood of a democratic transition. Moreover, ethnic inequalities have been found to undermine democracy (Houle 2015). Although the event analyses show no worrisome empirical pattern of reverse causality (see Figure 4), I supplement the OLS panel regressions with two-stage least squares (2SLS) IV analyses that use the regional share of democracies as a source of exogenous variation in domestic democracy for a given country. I follow the strategy of Dorsch and Maarek (2019) and Acemoglu et al. (2019) and use an instrument that is based on the observation that democratic transitions have occurred in temporal waves. Specifically, I calculate the percentage of democratic countries in a politico-geographic region. For example, in a hypothetical region where 15 countries were nondemocratic to begin with, I remove one (country i), and examine variation in the democracy variable in the 14 other countries in order to explain variation in country i (see Section IV on p. 2 of the online supporting information for details).

The IV approach yields consistent estimates under the exclusion restriction that—conditional on the controls included in the analysis—regional democratic waves affect ethnic inequality only through their effect on domestic political institutions in that same country (see Wooldridge 2013, chap. 15). It seems intuitive that regional democratic waves are unrelated to the level of ethnic inequality in a given country, other than by their effect on domestic regime characteristics. Nevertheless, a section in the online supporting information examines the exclusion criterion in detail and includes a number of robustness checks that control for potential violations (pp. 5–10). As an instrument for the interaction term, I interact the regional democracy variable with the predemocracy level of ethnic inequality, following the recommendations of Wooldridge (2010).

Finally, the event studies examine changes in ethnic inequality in democratic states relative to nondemocratic states before and after democratic transitions. This makes it possible to convey key information regarding the comparability of the treatment and control groups in their dynamics immediately prior to and following treatment (democratic transition).[3] The event study regressions are specified as follows:

$$Ethnic\ Inequality_{i,t} = \beta_e \boldsymbol{Z}_{ie} + \delta_i + \gamma_t + \boldsymbol{\theta} X_{i,t-1} + \epsilon_{i,t}. \tag{3}$$

where β_e is relative time e to the democratization event. Like the OLS panel regressions, the event study specification includes country- (δ_i) and year- (γ_t) fixed effects, as well as control variables ($X_{i,t\text{-}1}$).

Country-Level Results

Table 1 presents to what degree democracy predicts variation within countries in the three ethnic inequality measures. Looking at the first three columns, the OLS panel regressions, examining democracy shows a statistically significant negative impact on ethnic inequality for the public services measure (V-Dem) and the income measure (Alesina et al.), whereas the education measure (Omoeva et al.) fails to reach statistical significance.

In the three columns on the right-hand side of the table, I add an interaction term between democracy and predemocracy ethnic inequality and thereby test whether the impact of democracy depends on predemocratic ethnic inequality. Across all three measures, the interaction terms are statistically significant, indicating that there is a conditional effect of democracy on ethnic inequality: as levels of predemocracy ethnic inequality increase, the impact of democratic transitions grows stronger.

Figure 3 shows the marginal effect of democratic transitions on ethnic inequality depending on the level of predemocratic ethnic inequality. The plots were created using the binning estimator developed by Hainmueller, Mummolo, and Xu (2019), which relaxes the assumption of a linear interaction effect and protects against unwarranted extrapolation. The binning estimator estimates the marginal effects of the treatment variable (democracy) at typically low, medium, and high values of the moderator (predemocratic ethnic inequality).

At low levels of predemocratic ethnic inequality, the marginal effect of democracy is very close to zero (and even positive for the education measure). At intermediate

[3]The event studies rely on the assumption that in the absence of democratic transitions, ethnic inequality in democratic and nondemocratic states would have trended similarly (conditional on fixed effects and controls).

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TABLE 1 Effect of Democracy on Ethnic Inequality

	Average Effect of Democracy			Conditional Effect: Ethnic Inequality Prior to Transition		
	Public services	Income	Education	Public services	Income	Education
Democracy	−0.035**	−0.030*	−0.005	0.042†	0.028	0.012*
	(0.012)	(0.014)	(0.007)	(0.025)	(0.019)	(0.006)
Predemocratic inequality				0.727**	1.102**	0.718**
				(0.030)	(0.047)	(0.034)
Democracy x Predemocratic inequality				−0.200**	−0.140**	−0.197**
				(0.050)	(0.042)	(0.056)
GDP per capita	−0.050**	−0.023	0.013	−0.045**	−0.010	−0.011†
	(0.011)	(0.015)	(0.015)	(0.006)	(0.010)	(0.006)
Constant	0.686**	0.528**	0.124**	0.214**	0.044	0.037**
	(0.012)	(0.028)	(0.020)	(0.025)	(0.046)	(0.007)
Joint *F*-test *p*-value				0.000	0.000	0.000
N	15191	517	3945	15102	353	3865
Countries	175	173	86	175	173	86
Number of transitions	204	57	82	204	29	82
R^2 (within)	0.658	0.228	0.191	0.848	0.699	0.613
Country F-E	✓	✓	✓	✓	✓	✓
Year F-E	✓	✓	✓	✓	✓	✓

Notes: OLS. Standard errors (clustered on country) in parentheses. All right-hand variables are lagged by one year."Public services" refers to the V-Dem data, "Income" to the Alesina et al. data, and "Education" to the Omoeva et al. data. For the analyses that include interaction terms, the table also reports the *p*-value from an *F*-test of joint significance on the interaction term and the constituent variables (corresponding to β_1, β_2 and β_3 in Equation (2)). The conditional effect specification based on the income data has a somewhat lower number of observations (and transitions) than the corresponding average effect specification. This is due to the fact that there are no predemocratic inequality observations for the income data prior to 1992. As all independent variables are lagged, the conditional effect sample does not include the 1992 observations for this dataset. Not lagging the predemocratic inequality variable—thereby increasing the number of observations—produces results that are virtually identical.
$^{\dagger}p < .1$; $^{*}p < .05$; $^{**}p < .01$.

levels, the measures are all negative, but the confidence intervals for the income (Alesina et al.) and education (Omoeva et al.) measures include zero. At typically high levels of predemocratic ethnic inequality, however, democracy is consistently associated with reduced ethnic inequality. Overall, the results from the panel data analysis are mainly consistent with Hypothesis 2; that is, the influence of democratic transitions on ethnic inequality is much stronger in countries characterized by high levels of predemocratic ethnic inequality.

Is the predicted magnitude substantial? To illustrate using the public services measure, take a country with a typically high predemocratic level of ethnic inequality (0.8), corresponding roughly to the predemocratic levels of South Africa and Bolivia. The predicted effect of transitioning to democracy results in a sizeable reduction in ethnic inequality of over 10% of the observed range. Repeating this exercise with typical high values for the income and the education measure yields reductions of 5%–6% of the observed range.

Table 2 reports the second-stage results from the 2SLS specification. The unconditional effect of democratic transitions is statistically insignificant, although still signed in the same, negative direction. However, conditional on predemocratic ethnic inequality, the effect is statistically significant. The IV analyses thus provide additional confidence in the interaction hypothesis (Hypothesis 2) that democracy mainly

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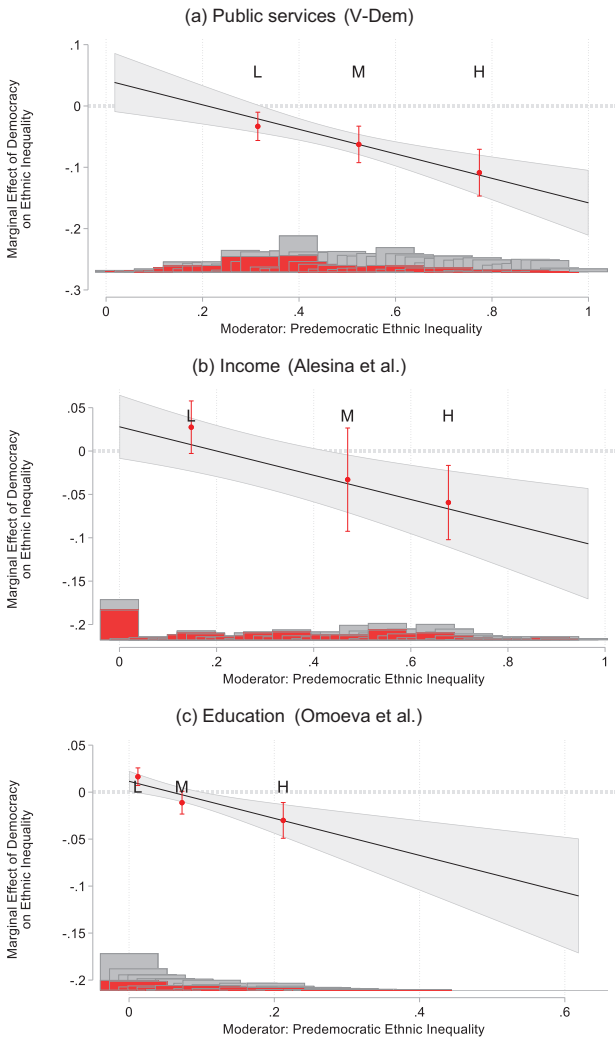
FIGURE 3 Marginal Effect of Democratic Transitions Conditional on Predemocratic Ethnic Inequality



Notes: The black lines display the marginal effects calculated from the linear specification with 95% confidence intervals. The point estimates show the marginal effects of democratic transitions at the median of each tercile of predemocratic ethnic inequality together with 95% confidence intervals. The histograms show the distribution of predemocratic ethnic inequality, with red bars reflecting its distribution in the treatment (democracy) group and grey bars reflecting its distribution in the control (nondemocracy) group.

reduces ethnic inequality in previously highly unequal countries.

However, a few caveats should be mentioned. The Kleibergen–Paap *F*-statistics are above conventional thresholds for the two specifications based on the public services measure and for the average effect specification based on the education measure, which attests to the strength of the instrument (cf. Stock, Wright, and Yogo 2002). However, for the two specifications based on the income measure and the interaction specification based on the education measure, the corresponding *F*-statistics are below conventional thresholds.[4] Regarding the two analyses based on the income data, this could be related to the lower number of observations. I discuss this issue in more detail in the online supporting information, which provides the first-stage results (p. 3, Table A2) and weak instrument inference diagnostics (p. 4, Table A3).

I now turn to the event study plots that make it possible to visualize key information regarding the comparability of the treatment and control groups in their dynamics just prior to and following treatment. Specifically, Figure 4 shows the differences in ethnic inequality in democratic states relative to nondemocratic states before and after democratic transitions—including fixed effects and controls for GDP per capita. It plots the regression coefficients with 95% confidence intervals on the treatment leads and lags; that is, five-year periods leading up to and following democratization, illustrated with the dotted line. To capture the heterogeneous effects, the analysis is based on a split sample only including countries with typical high levels of predemocratic inequality (corresponding to "high levels" in the interaction specifications presented above).

Across all three measures, the two groups are comparable on outcome dynamics before democratization, with the pretreatment coefficients being close to the zero line itself. Following democratization, there is a clear divergence, and the coefficient becomes negative, suggesting that democracy reduces ethnic inequality. However, the nature of the relationship varies according to each measure. Both the public services (V-Dem) and income (Alesina et al.) measures exhibit a clear divergence after five years, whereas the education (Omoeva et al.) measure experiences a divergence after 5–10 years. Across all three measures, however, the coefficient is larger after 15–20 years than after five years. Taken together, these results are in line with the notion that it takes some time for democracy to have a clear impact on ethnic inequality. Previously excluded groups first need to mobilize politically, win government seats, and affect legislation. Moreover, policy changes may not influence the outcome immediately.

To further examine the heterogeneous effect, Figure A1 (p. 12) in the online supporting information shows the results for the remaining subsample, which includes countries that have lower levels of predemocratic inequality. As expected, the divergence between

[4]The Kleibergen-Paap *F*-statistic is more accurate when employing clustered standard errors (see Baum, Schaffer, and Stillman 2007).

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TABLE 2 Effect of Democracy on Ethnic Inequality Using IV Estimation

	Average Effect of Democracy			Conditional Effect: Ethnic Inequality Prior to Transition		
	Public services	Income	Education	Public services	Income	Education
Democracy	−0.014	−0.307	0.052	−0.033	0.179	−0.010
	(0.044)	(0.197)	(0.052)	(0.043)	(0.169)	(0.028)
Predemocratic inequality				0.758**	1.272**	0.748**
				(0.035)	(0.111)	(0.045)
Democracy x Predemocratic inequality				−0.168*	−0.447*	−0.719**
				(0.068)	(0.204)	(0.151)
GDP per capita	−0.051**	−0.027	0.007	−0.039**	0.009	−0.007
	(0.011)	(0.024)	(0.014)	(0.007)	(0.016)	(0.007)
Joint *F*-test *p*-value				0.000	0.000	0.000
N	15188	517	3945	15099	353	3865
Countries	174	173	86	174	173	86
Number of transitions	204	57	82	204	29	82
Country F-E	✓	✓	✓	✓	✓	✓
Year F-E	✓	✓	✓	✓	✓	✓
Kleibergen-Paap *F*-stat	75.331	3.938	10.806	30.599	2.469	3.168
Cragg-Donald *F*-stat	1280.785	3.642	80.122	559.957	1.367	24.833

Notes: 2SLS, second-stage. Standard errors (clustered on country) in parentheses. All right-hand variables are lagged by one year.
$^{\dagger}p < .1$; $^{*}p < .05$; $^{**}p < .01$.

democracies and nondemocracies after democratization is much less clear for this subsample.

A section in the online supporting information also explores the theorized mechanisms quantitatively with country-level data (pp. 39–42). Specifically, I test the argument's key implications, which were summarized in Figure 1, namely, democratization should lead to the political mobilization and empowerment of previously excluded groups, which paves the way for the introduction of universal and targeted social policies as well as initiatives to reduce discrimination. The dynamics should be most pronounced in the previously most unequal countries, where collective grievances are strongest.

I have identified proxies for each implication (i.e., inclusion, social policies, antidiscrimination), which are detailed in the online supporting information (pp. 39–40). An examination of the subsample of countries with high predemocratic inequality shows that democratic transitions predict increased ethnopolitical inclusion as well as reduced state discrimination and expansions of universal social policies. Below, I also use group-level data to further examine whether democratic transitions lead to reduced political and economic discrimination (see Figure 6).

Since there are no global datasets of affirmative action policies, I briefly discuss evidence from South Africa, Nepal, and Bolivia in the online supporting information (p. 41). These cases suggest that such policies are implemented together with more universal policies and antidiscrimination measures. In line with expectations of a conditional relationship, there is some indication that the mechanism operates more strongly in the high predemocracy inequality subsample, yet statistical uncertainty does not allow me to draw definitive conclusions in this specific regard.

In the online supporting information, I report the result of a range of robustness checks. In Tables A4–A6 (pp. 5–7), I include a range of covariates into the baseline IV analysis in order to block off channels through which the exclusion criterion might be violated. Figures A2–A3

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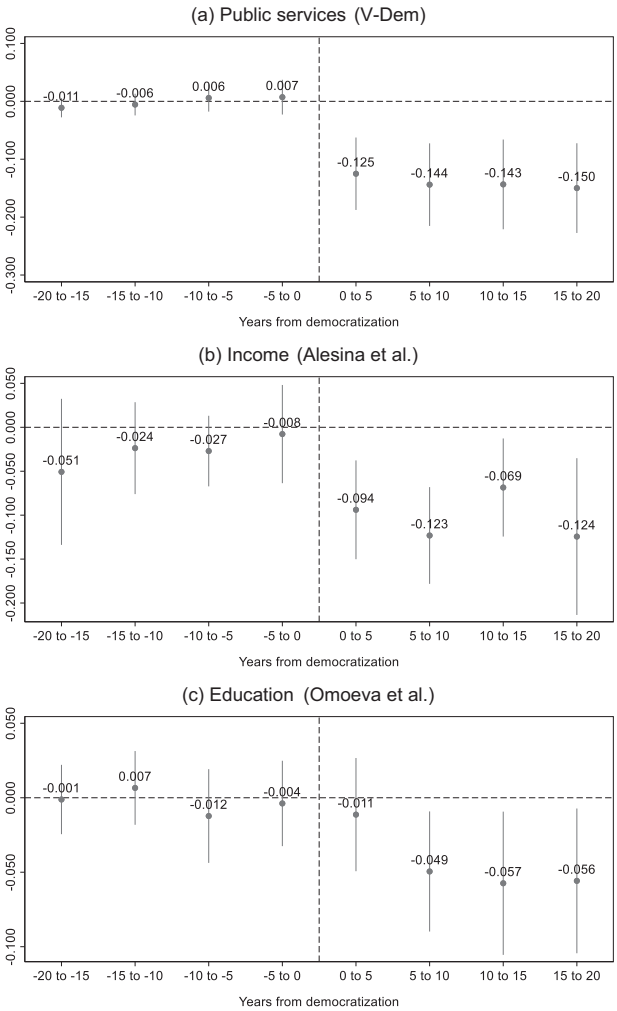
FIGURE 4 Event Study Plots of Democracy's Effect on Ethnic Inequality



Notes: The figure shows the differences in ethnic inequality in democratic states relative to nondemocratic states before and after democratic transitions—including fixed effects and controls for GDP per capita (see Table A10, p. 11). It plots the regression coefficients with 95% confidence intervals on the treatment leads and lags (i.e., five-year periods leading up to and following democratization), illustrated with the dotted line. To capture the heterogeneous effects, the analysis is based on a split sample, only including countries with high levels of predemocratic inequality (i.e., above the median of the upper tercile, corresponding to "high levels" in the interaction specifications presented above).

(pp. 12–13) show results from difference-in-difference estimators, which help to account for issues associated with multiple time periods and variation in treatment timing. Table A11 (pp. 13–14) includes a number of additional time-variant control variables, including measures of ethnic heterogeneity, civil war, oil, and economic growth, initially left out due to the risk of posttreatment bias. Moreover, controlling for individual inequality does not change the main panel results, indicating that the dynamics between individual and ethnic inequalities differ (see pp. 42–43 and Table A34 for further discussion).

In Tables A12–A17 and Figures A4–A7 (pp. 14–23), I also present results based on alternative democracy measures, which I briefly presented above. Tables A18–A22 (pp. 23–26) provide results with various additional lags and panel lengths to provide more assurance against circularity and to mitigate concerns of serial autocorrelation. Tables A23–A25 (pp. 27–29) report various estimates with lagged dependent variables, and Table A26 (pp. 29–30) employs a GMM estimator. Tables A27–A32 (pp. 30–33) restrict the sample by one politico-geographic region at a time to ensure that a particular group of countries is not driving the results. Finally, I also consider placebo tests in Figures A8–A11 (pp. 34–39), which help to ensure that the analysis does not simply pick up a general downward trend in ethnic inequality, which could be most pronounced among highly unequal countries.

Group-Level Analysis

In this section, I analyze the empirical implications of the argument using group-level data. This disaggregated approach allows me to study how a country-level variable (democratization) affects a group-level outcome (relative group income). I use data from Bormann et al. (2021), who provide nighttime luminosity data from 1992 to 2012 for a global sample of politically relevant ethnic groups. While the sample covers a temporally limited period, it still includes 55 transition events and 293 groups. To estimate the economic status of groups, Bormann et al. combine data on nighttime light emissions with data on ethnic settlement patterns from the Geo-Referencing Ethnic Power Relations project (Bormann et al. 2021, 8–9).

I have used the data to calculate a country's average income as well as how far a given group is from this average (calculated in percentages to account for movements in average income). This variable takes on either positive or negative values, depending on whether the group in question is socioeconomically advantaged or disadvantaged relative to the country mean. Using group- and year-fixed effects, controlling for national GDP per capita and with standard errors clustered by group, I find that democratization results in a convergence of rich and poor groups. Socioeconomically disadvantaged groups experience income increases relative to the country mean following democratization (as indicated by the positive value in Figure 5, left panel), whereas socioeconomically

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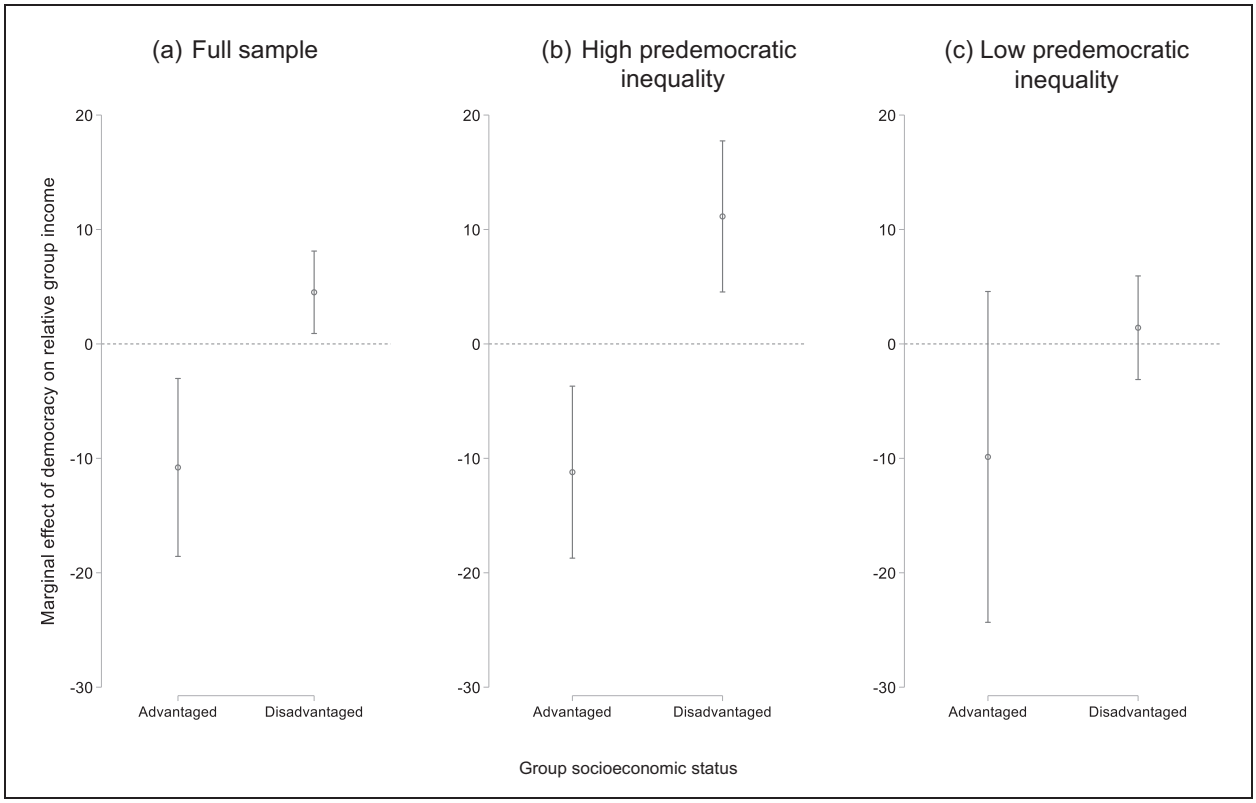
FIGURE 5 Marginal Effects of Democratic Transitions on Group Economic Position Relative to Country Mean



Notes: The figure plots the estimated marginal effect of democracy on relative group income, depending on whether a group is advantaged or disadvantaged in socioeconomic terms (95% confidence intervals). The left-hand panel includes the full sample, the middle panel only includes groups from countries with above-mean levels of predemocratic ethnic inequality, and the right-hand panel only includes groups from countries with below-mean levels of predemocratic ethnic inequality. See Table A35 (pp. 43–44) for the underlying regression table.

advantaged groups experience a relative reduction (as indicated by the negative value), bringing them both closer to the country mean.

Moreover, the plots in the middle and right-hand panels of Figure 5 examine the hypothesis of a conditional relationship. The middle panel only includes groups from countries that were relatively unequal (above the mean) prior to democratizing, whereas the right-hand panel only includes groups from countries that were relatively equal (below the mean). Consistent with the logic of a heterogeneous effect of democratization, disadvantaged groups appear to see significant increases in their relative income in the high predemocratic inequality subsample. Meanwhile, in the low predemocratic inequality subsample, the marginal effect for income gains by disadvantaged groups is not distinguishable from zero. The underlying table is reported in the online supporting information, where I also present robustness tests, which control for additional covariates (Table A35, pp. 43–44).

Overall, shifting the level of analysis and employing a new dataset yields results that are consistent with the main argument. To further probe the group-level relationship, I employ group-level data that captures part of the suggested theoretical mechanism. I argued above that democracy could reduce ethnic inequality by enabling the political empowerment of previously excluded groups, which, among other things, may help to reduce economic discrimination. To assess this implication, I have analyzed whether democracy is associated with reduced political and economic discrimination at the group level as measured by the All Minorities at Risk (AMAR) dataset (Birnir et al. 2017). The AMAR variables range from 0 to 4, with 0 indicating no

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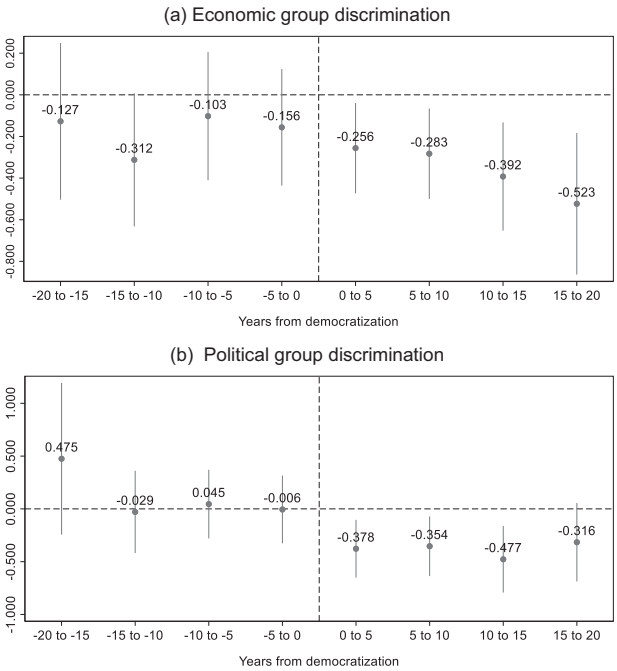
FIGURE 6 Event Study Plots of Democracy's Effect on Economic and Political Discrimination



Notes: The figure plots the differences in economic and political discrimination in democratic states relative to nondemocratic states before and after democratic transitions—including fixed effects and controls for GDP per capita (see Table A36, p. 45). It plots the regression coefficients with 95% confidence intervals on the treatment leads and lags (i.e., five-year periods leading up to and following democratization).

group discrimination and 4 indicating formal exclusion and repressive public policies that restrict the group's economic opportunities and political participation, respectively. The sample covers 346 groups, mainly after 1980.

Using the same specification as above (i.e., group- and year-fixed effects, and GDP per capita as control), I find that democratic transitions are followed by lower levels of economic and political discrimination. This relationship is illustrated in Figure 6 using event study plots. It shows a decrease in economic discrimination following democratization, which reaches its lowest level after 15–20 years, suggesting an incremental decline. The coefficient for political discrimination drops more suddenly after democratization events, yet remains at more or less the same reduced level. This pattern is consistent with the interpretation that groups must first increase their political leverage (i.e., reduce barriers to political participation) to gradually reduce economic discrimination.

Conclusion

This article's findings provide grounds for cautious optimism regarding the egalitarian effects of democracy, even though successful pushes for a more equal distribution of resources following democratization are not a given. Indeed, even under democracy, there may be important obstacles to redistribution, and research on Bolivia, Brazil, Côte d'Ivoire, Ghana, Guatemala, Indonesia, Nigeria, Peru, South Africa, and the United States, among others, has shown ethnic inequalities to be very persistent (Stewart and Langer 2008). Nevertheless, democratic transitions tend to reduce disparities between ethnic groups, particularly when predemocratic levels of inequality are high. As such, democracy can help reduce even deep-rooted intergroup inequalities.

Considering the rich literature linking ethnic inequalities with civil war (Cederman, Gleditsch, and Buhaug 2013; Stewart 2008), an important implication of this study is how the redistributive effects of democracy are likely to reduce the long-term risk of conflict. This study also speaks to a growing body of literature that has found that ethnic inequality affects regime dynamics, including the likelihood of democratic breakdown, coups, and state repression (Houle 2015; Houle and Bodea 2017; Stewart 2021; Ye and Han 2019). Although this clearly complicates efforts at causal identification, the results presented here underscore that regime dynamics actively shape ethnic inequalities.

These conclusions also speak to the voluminous literature on the consequences of democracy (Gerring, Knutsen, and Berge 2022), where scholars disagree about the blessings of democratic institutions for other valuable outcomes. My results lend conditional support to the notion that democracy propels a political dynamic favorable to the interests of the less advantaged citizens and groups in a society. This conditional influence of democracy is consistent with a recent study demonstrating how the relationship between democratization and individual income inequality is strongest at high levels of predemocratic inequality (Dorsch and Maarek 2019). Democracy thus helps to mitigate the most egregious socioeconomic inequalities, regardless of whether we consider individuals or ethnic groups.

However, in contrast to Dorsch and Maarek's finding regarding individual inequality, I find no clear indication that ethnic inequality increases in egalitarian nondemocracies following democratization. This is likely due to the distinct character of ethnic inequality, which may be considered particularly unfair in many societies due

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to the ascriptive and relatively fixed nature of ethnic identities—sometimes against the backdrop of ongoing or historical discrimination. Perceptions that ethnic inequality is particularly unfair are consistent with generally large support for formal equality between groups and the idea that differences should be on the basis of measurable factors such as individual experience or competence. In contrast, inequalities between individuals are less likely to be deemed unjust and therefore constitute less obvious rallying points for political action (see Milanovic 2016, 267; Therborn 2014). In short, democracy may be particularly likely to eliminate more blatant group inequalities, including discrimination against ethnic groups in the labor market or in access to public services.

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Supporting Information

Additional supporting information may be found online in the Supporting Information section at the end of the article.

Appendix A: Temporal variation of ethnic inequality measures
Appendix B: Supporting material for IV analysis
Appendix C: Supporting material for event studies
Appendix D: Country-level robustness tests
Appendix E: Placebo tests
Appendix F: Evidence of the mechanism
Appendix G: Reductions in individual inequality and inequality between groups
Appendix H: Group-level analysis

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